UNIT VIII INTERNATIONAL BUSINESS

CHAPTER 26

EXPORT AND IMPORT PROCEDURES

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உள்ளறிவான் உள்ளம் கொளல். -குறள் 677

Couplet:
The method of performance for one who has begun an act is to ascertain the mind of him who knows the secret thereof.

Learning Objectives

To enable the students to

i. explain the need and importance of export trade
ii. describe the various procedures followed in the export trade
iii. state the role of intermediaries of export trade
iv. explain the various procedures followed and intermediaries involved in import trade

26.01 Export Trade.

Exports have attained greater importance in the contemporary world. It has emerged as one of the vital indicators of a nation's social, economical and political growth. No country in the world can produce all the goods and services it required. They have to inevitably buy and sell from one another. Therefore countries have to engage in international trade. Export and import represent two sides of the same coin of international trade. In other words the countries have to buy the goods which are either not available or not adequately available in home country and sell the surplus goods/ services produced by it to other countries which need them utmost. In short each and every country has to export surplus goods and import the deficit goods. In this process, it earns precious foreign exchange and use the foreign exchange thus earned for import goods which cannot be produced or adequately produced in the home country.

Developing countries like India, Bangladesh, South Korea and so on require substantial amount of foreign exchange in order to acquire machineries, equipment, raw materials, petroleum products, mineral resources, technical know-how, managerial talents and so on for their faster economic development. Government of India has initiated several steps to encourage exports. It has been promoting export by providing

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